

Fairchem Organics Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: FAIRCHEMOR · BSE: 543252 · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: Fairchem is an *oleochemicals* maker — oleochemicals are chemicals made from fats and oils rather than from crude petroleum. It buys the cheap leftovers of edible-oil refining (called *acid oil*, the roughly 1–1.5% of gunk that comes off when soya, sunflower, cottonseed or rice-bran oil is cleaned up for the kitchen) from about 80–100 Indian refineries, and splits that waste into saleable chemicals at one plant at Sanand, Gujarat. The main outputs are **linoleic acid** (sold to paint and ink makers), **dimer acid** (used in epoxy hardeners, printing inks and oil-drilling fluids — Fairchem is the only Indian maker), **isostearic acid** (a premium cosmetics ingredient; Fairchem says it is one of only three producers in the world) and a tail of by-products. It historically also made **tocopherol** (natural vitamin E, a nutrition ingredient) and **sterols** (plant compounds used in supplements and pharma) — **that plant is currently switched off and earning nothing**. The economics are pure *spread*: raw material is repriced daily like a commodity, finished goods sell on contracts of a month or less, and the gap between the two is the whole profit.

Measure	Value	What it means in plain words
Market cap	₹1,049 cr	What the whole company is worth on the stock market — a small-cap.
FY26 revenue	₹460 cr	Sales in the year to March 2026, down 15% on FY25 and down 28% from the FY23 peak of ₹648 cr. Sales have shrunk three years running.
FY26 net profit	₹6.2 cr	Profit after everything. Against ₹68 cr in FY22 — a 91% collapse in four years.
FY26 operating margin	4.7%	Under five paise of operating profit per rupee of sales. Was 16% in FY22. EBITDA (operating profit before interest, tax and depreciation) was ₹22 cr against ₹105 cr in FY22.
Q1 FY27 revenue	₹176 cr	Up 34% on the same quarter last year. The best quarter in two years — and the subject of this report.
Q1 FY27 net profit	₹10 cr	One quarter earned more than the whole of FY26 (₹6.2 cr). EBITDA margin 10.1%, first double digit since Q1 FY25.
Volume sold, Q1 FY27	13,500 t	Against 13,662 t in the same quarter last year — down 1.2% . The single most important number in this report.
Stock P/E · ROE	69.4 · 2.2%	The share is priced at 69 times a depressed profit. Return on equity of 2.2% means the business currently earns almost nothing on shareholders' money.
Borrowings (Mar 26)	₹84 cr	Up from ₹7 cr in Mar-2024 — a twelve-fold rise in two years, against ₹263 cr of net worth. Mostly funding swollen inventory and the buy-back, not new plant.
Cash conversion cycle	139 days	Cash tied up in stock and unpaid bills; was 80 days in FY24. Materially worse — inventory days went 57 → 96.
Promoter holding	63.25%	Up from 58.89% in 2023, lifted by a buy-back completed in Q4 FY26. Promoters are buying, not selling.

2 Concall coverage

Quarter	Call	Read?	Quarter	Call	Read?	Quarter	Call	Read?
Q1 FY23	Aug 2022	Yes	Q3 FY24	Feb 2024	Yes	Q1 FY26	Aug 2025	Yes
Q2 FY23	Nov 2022	No transcript	Q4 FY24	May 2024	Yes	Q2 FY26	Nov 2025	Yes
Q3 FY23	Feb 2023	Yes	Q1 FY25	Aug 2024	Yes	Q3 FY26	Feb 2026	Yes

Q4 FY23	Jun 2023	Yes	Q2 FY25	Dec 2024	Yes	Q4 FY26	May 2026	Yes
Q1 FY24	Aug 2023	Yes	Q3 FY25	Feb 2025	Yes	Q1 FY27	28 Jul 26	Yes — latest ★
Q2 FY24	Nov 2023	Yes (listed twice)	Q4 FY25	Jun 2025	Yes	★ = read line by line for this report		

Coverage note — read this before the analysis. Screener lists **27 rows** in Fairchem's concall section, but only **16 distinct calls carry an actual transcript**; the other 11 rows (Jun 2021, Aug 2021, Oct 2021, Feb 2022, May 2022, Jun 2022, Jul 2022, Nov 2022, Dec 2023, Jun 2024, Nov 2024) hold only a slide deck or an auto-generated summary, with no transcript filed. Those are genuine gaps — **we did not read them and cannot quote management from them**. Most predate Fairchem's regular transcript-filing habit, which began with the Aug-2022 call; the one real gap inside the analysed window is **Q2 FY23 (Nov 2022)**. Two rows duplicate the same call (Nov 2023, and an Aug-2022 pair). All 16 available transcripts were read, the last four years are otherwise continuously covered, and the latest call was read line by line.

★ Latest concall highlights — Q1 FY27 (call held 28 July 2026)

- **The best quarter in two years.** Revenue ₹176 cr, up 34.4% year-on-year. EBITDA ₹18 cr at a 10.14% margin — the first double-digit margin since mid-2024. Net profit ₹10 cr, more than the entire ₹6.2 cr Fairchem earned in all of FY26.
- **Volume did not grow. It fell.** The company sold 13,500 tonnes. In the same quarter a year earlier it reported selling **13,662 tonnes**. Revenue rose 34% on 1.2% less product — every rupee of growth, and more, came from price. Note: on this call the CFO stated the year-ago base as "13,000 tonnes"; the company's own Aug-2025 call said 13,662. We use the contemporaneous figure.
- **Management named the cause, and it is not them.** Chairman Nahoosh Jariwala: "there was dumping happening from China, which has gone down. **And if dumping starts again, we cannot do anything about it.**" Realisations are up ~25% on the March quarter and ~30% year-on-year purely because cheap Chinese imports of dimer acid stopped and the rupee weakened. Asked directly whether it is sustainable, he said: "I might say that yes, this is sustainable. It might not... this is a business risk."
- **Capacity utilisation ~60%, targeting 70–75% by March 2027** on the existing 80,000-tonne plant, with volume growth of "5% to 7% every quarter". No capex is required to get there — this is the one genuine, self-controlled lever on the table.
- **Isostearic acid, the "star product", is going backwards as a share of sales.** It was 4% of revenue this quarter, against 5.7% for FY26 as a whole. Management admitted approvals are "taking longer and longer than what we expected"; at some customers it has cleared all five qualification steps, at others four. R&D spend is about ₹50 lakh a year of revenue expense (1–1.5% of sales including salaries) — an analyst noted the annual report shows the R&D line blank, and the CFO promised to get back to him.

Business mix & capacity — Q1 FY27. Product mix (share of the ₹176 cr): linoleic acid 42%, dimer acid 30%, isostearic acid 4%, other by-products 24%. *Plain read:* almost three-quarters of the money comes from two bulk industrial acids that compete on price; the premium product is a rounding error. Linoleic's share jumped from about 30% in FY26 as paint demand recovered, which is why the quarter looks better. **End-market:** the paint industry alone is 40% of revenue, and management said flatly it has no intention of reducing that dependence. Concentration is tighter still at the customer level — in Nov-2024 the then-CFO said "approximately two-thirds" of total sales went to **Asian Paints** alone, against a "top customer" share of 40% in FY22 that management had said was "bound to reduce substantially". *Plain read:* one cyclical industry drives four rupees in ten, and dependence on the single largest buyer grew rather than shrank. **Tocopherol and sterols (the nutraceutical leg): zero.** This is not undisclosed — it is disclosed as nil. All of it went to the United States; US tariffs killed it. A plant to upgrade this stream was begun in 2019, reached 95%+ completion, absorbed about **₹35 cr of capital work-in-progress — and was abandoned in Jun-2023** as "not that viable lucrative"; the assets were redeployed elsewhere. Management then called the business "completely off" (Aug 2025), "since two quarters our business has been zero" (Feb 2026) and "that plant is not being utilized right now because the Vitamin E market is not doing that great" (May 2026). It was not mentioned at all on the latest call. *Plain read:* the high-value nutrition arm this company was once known for is idle, and none of the current recovery comes from it. **Exports 7–8% of revenue** (dimer and isostearic, to the US, Europe and Japan). *Plain read:* Fairchem is a domestic business. Worse, this is *down* from the 8–9% reported for FY26, in the first quarter of a year management guided to 20%.

Capacity: 120,000 tonnes a year of raw-material throughput installed, of which 80,000 t is usable today and 40,000 t sits earmarked for a still-unnamed new product. Utilisation is "close to 60%", targeted at 70–75% by March 2027 and 95%+ within two years. *Plain read:* two-fifths of the paid-for plant is idle. The good news is that growth needs no money; the bad news is that it has been idle for three years because selling into a dumped market was not worth doing.

A caution on the utilisation figure. Management's own stated utilisation has wandered without the tonnage moving to match: "around 70%" (Aug 2025), "close to around 55%" (Feb 2026), "around 65%, 66%" (May 2026), "close to around 60%" (Jul 2026). Computed from the

tonnes they actually report processing, the true figure has sat between 55% and 62% throughout. Treat the headline percentage as approximate.

★ 3. Earning-trigger thesis

Management's story has been unchanged for four years: Fairchem is a good plant trapped by two things it does not control — **an inverted customs duty** (its raw material carries 16.5% import duty while the competing finished product, dimer acid, carries only 7.5%, a permanent 9-point handicap in its own CFO's words) and **Chinese dumping** of dimer acid. Fix those and margins go back to the 15–17% of FY21–22. On top, three self-help levers: ramp **isostearic acid**, commission a **new 40,000-tonne product line**, and cut energy cost. **The Q1 FY27 result validates none of that.** Chinese dumping paused for reasons management openly says it does not understand and cannot influence, prices rose ~30%, volume fell 1.2%, and the profit followed the price. This is a spread swing wearing the costume of a turnaround, and separating the two is the whole job of this report.

Trigger	What management said	Evidence so far	Horizon	Strength
China stops dumping dimer acid	Chinese export incentives of up to 15% were withdrawn; realisations up 8–10% (May 26), then ~25–30% (Jul 26). "We are happy with the realisation."	Real and large — essentially the entire Q1 FY27 profit. But management has called the end of dumping before and been wrong. "Chinese would be scared of us" (Jun 23) → "massive dumping" (Aug 23) → "it stopped, one quarter only" (Nov 23, Feb 24, May 24) → "in dimer we are not making money because there is dumping from China" (Feb 25) → "gone down" (2026). It prices dimer at the Chinese landed cost <i>minus</i> ₹2 by its own admission.	Unknowable	Not durable A price cycle outside the company's control, and one it has misread twice before.
Utilisation 60% → 75% → 95%	"Every quarter, maybe 5%... by the end of the fourth quarter we have increased it by around 20%." No capex needed. Operating leverage "will come".	The most credible lever. Volume did rise 29% on the March quarter. But it only works while prices stay good — the plant was deliberately run at 35–55% for two years <i>because</i> selling was unprofitable.	1–2 yrs	Moderate Genuine and free, but entirely conditional on the price trigger above holding.
Isostearic acid ramp	Third producer in the world, "green route", high margin, "star product". "In next 1–2 years we will reach more than 80% capacity utilisation."	Promised since FY23 and still shrinking. Management put peak revenue at ₹150 cr a year ; the Q1 FY27 run-rate is about ₹28 cr . Share of sales 6–7% (Aug 25) → 5.7% (FY26) → 4% (Q1 FY27). Fifty buyers were "in approval" in Feb-2025; still no breakthrough order. "It is taking longer and longer than what we expected."	2–4 yrs	Weak so far Four years of the same promise with the share of sales falling.
New 40,000 t product line	A novel in-house process, first in India, "fairly high value" — ₹800–1,000 cr of revenue potential and margins "much better", over five years. First phase capex only ₹20–25 cr for ~8,000 t.	Plant to be commissioned Q2 FY27; management itself says revenue is "minimum two, two and a half years" away because of validation. They will not name the product. Timeline has already slipped roughly a year.	3–5 yrs	Optionality only Cheap, real optionality — but unproven, unnamed and far out.
	Energy audit done; power consumption down "more	Delivered and verifiable. Quarterly power-and-fuel cost	Now	

Energy and cost savings	than 30%", solid fuel down "more than 35%". Second audit underway; catalyst localisation started.	fell from about ₹8 cr to ₹6 cr. Small in absolute terms but permanent and entirely self-controlled.		Strong but small The one thing they promised and plainly did.
Exports 8% → 20% → 50%	UK and EU free-trade agreements, better US tariffs and a weak rupee to lift exports to 20% in FY27 and eventually 50%. "We will not require any CAPEX."	Going the wrong way. Exports were 8–9% in FY26 and 7–8% in Q1 FY27 — the first quarter of the 20% guidance year. The 50% figure has been repeated since 2024 with no progress.	1–3 yrs	Weak Repeatedly promised, never started.
Tocopherol / sterol revival	"Once demand reaches up, we will start that plant again."	Idle. Zero revenue for at least four quarters. No timeline offered, and it was not raised at all on the latest call.	None given	Dormant A written-off asset until proven otherwise.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY23 (Jun 23)	The plant had just been expanded from 45,000 t to 120,000 t, funded entirely from internal cash. "Complete utilisation of nearly 90% will happen somewhere in the financial year 2025-26."	FY26 utilisation came in at about 55% . Volumes went 54,000 t (FY23) → 63,000 t (FY24) → 54,000 t (FY25) → 44,000 t (FY26) , and operating margin 11% → 11% → 8% → 4.7%. The capacity has never been filled.	Missed
Q4 FY24 (May 24)	"We will have 90% utilisation of our existing capacity... during 2024-25." Q3 FY24 had already promised full production and sale "hopefully by December 2024".	FY25 utilisation was roughly 62% on the usable 80,000 t, and revenue <i>fell</i> 13% to ₹538 cr. By Feb-2026 management was describing utilisation as "close to around 55%".	Missed
Dec 2024 presentation	Investor deck published 14 Dec 2024 , page 30: revenue ₹735 cr for FY25 and ₹979 cr for FY26 at a 23.8% EBITDA margin.	Disowned two months later. Feb-2025: "that was the internal projection... it doesn't hold good... made long back" — although the duty shock and paint slump both predated publication by three months. Jun-2025: "our company never gives guidance." FY26 actually came in at ₹460 cr and 4.7%.	Walked back
Q4 FY25 (Jun 25)	Isostearic acid to "pick up" in H1 FY26 and "further pick up" in H2; optimum utilisation "by next year". Sixteen customer approvals already in hand.	Isostearic went from ~6–7% of sales to 4%. On the latest call, still "taking its own time"; at some customers only four of five qualification steps are done.	Missed
Q1 FY26 (Aug 25)	A cheaper alternative raw material, trials "fairly successful", commercial "maybe by November" 2025 — explicitly to escape the duty handicap.	Slipped four times: to "Q2 or Q3" (Feb 26), then plant commissioning "by end of Q2" FY27 (May 26), then "next quarter" (Jul 26). Roughly a year late and still not in production.	Slipping
Q2 FY26 (Nov 25)	Animal-feed / bypass-fat product: trial runs Dec-25/Jan-26, "commercial things should fall in place during April–June 2026 quarter."	Feb-26: plant ready, awaiting GMP certificate. May-26: plant to run "next month", revenue "from Q3 onwards slowly". Not mentioned on the Q1 FY27 call at all.	Slipping
Q3 FY26 (Feb 26)	"The worst quarter is behind us and now every quarter we will see volume and value growth	Right, and early. Q4 FY26 margin recovered to 6.9% and Q1 FY27 to 10.1% — ahead of their	Delivered

	happening." Good numbers from H2 FY27.	own H2 timetable. Revenue and volume both rose sequentially.	
Q4 FY26 (May 26)	"We are targeting to reach 8% margins and we are fairly confident." Exports 8–9% → 20% during FY27. Volume to 75–80% utilisation.	Margin: beaten at 10.1%. Exports: missed , down to 7–8% in the very first quarter. Utilisation: at 60%, on track but not yet delivered.	Mixed
Q4 FY26 (May 26)	Energy audit to cut power and fuel cost; buy-back to lift promoter holding.	Both done. Power consumption down >30%, solid fuel >35%; quarterly power-and-fuel cost ₹8 cr → ₹6 cr. Buy-back of 4.25 lakh shares completed, promoter stake 61.2% → 63.25%.	Delivered
Q1 FY27 (Jul 26)	"We are not doing any crazy expansion or we are not taking any debt or anything."	Borrowings went ₹7 cr (Mar-24) → ₹63 cr (Mar-25) → ₹84 cr (Mar-26) . It is working-capital and buy-back borrowing rather than project debt — inventory days rose 57 → 96 — but the statement as made is not accurate.	Contradicted

Narrative drift. The *story* has barely drifted at all, and that is to their credit: the same two villains (inverted duty, Chinese dumping) and the same three fixes (isostearic, a new product line, cost control) in every call for four years, with no pivot into fashionable unrelated ventures, no debt-funded empire-building, and calls held every single quarter including the humiliating ones. The previous CFO's line in Nov 2025 — "it is more torturous for us than for you" — is the tone throughout. What has drifted is the *calendar*, and the *ambition*. Every forward-looking item has slipped: isostearic acid since FY23, the alternative raw material by about a year across four successive revisions, animal feed by two quarters and counting, exports in the wrong direction entirely. The margin target has been marked down at almost every turn — **"17–18%, anything above 18%"** (Aug 22) → 15% ±1.5% (Jun 23) → 14–16% (Nov 23) → 15% for FY25 (May 24) → "up to 12%" (Nov 24) → 12–15% (Feb 25) → **8%** (May 26) — against delivered margins of 11.2%, 10.8%, 8.0% and 4.7%; a Nov-2023 promise of **₹150 cr of EBITDA "two years down the line"** arrived as ₹22 cr. Each downgrade came with a fresh external excuse. Smaller inconsistencies accumulate at the edges: the number of world isostearic producers was given as five, then four, then three, then two; stated utilisation has bounced between 55% and 70% while actual tonnage barely moved; and the CFO quoted the year-ago volume base as 13,000 tonnes on the latest call when the company's own prior disclosure said 13,662 — the difference between year-on-year volume growth of +3.8% and a decline of –1.2%. Individually small; together they mean the forward numbers need checking against the tonnage every time.

5 Bottom line — two verdicts

Durable earning trigger? → NO

Not on this evidence. Fairchem sold **less** product in Q1 FY27 than a year earlier — 13,500 tonnes against 13,662 — and booked 34% more revenue for it. Realisation per kilo went from about ₹96 to about ₹130. That is not an operating improvement; it is a price event, and management said so themselves when they attributed it to Chinese dumping easing and the rupee weakening, then added that if the dumping restarts "we cannot do anything about it." The structural position is unchanged and unattractive: raw material is a daily-priced commodity bought in competition with three or four other buyers, dimer acid is deliberately priced at the Chinese landed cost *minus* ₹2, finished goods sell on contracts of a month or less, management refuses long-term contracts as "hara-kiri", and a 9-point inverted customs duty sits on the business permanently because, in the Chairman's words, "we are too small." There *are* two things worth watching. Utilisation can rise from 60% to 95% with no capital spending at all, which would drop real operating leverage into the P&L — but only for as long as prices allow. And the unnamed 40,000-tonne product line is cheap optionality with a credible ₹800–1,000 cr revenue case, on management's own five-year timetable. Neither is proven today. Meanwhile the high-value legs are going backwards: isostearic acid has fallen from 6–7% of sales to 4%, and the tocopherol and sterol plant — the nutrition business this company was known for — is switched off and earning nothing. At 69 times earnings and a 2.2% return on equity, the market is already paying for a recovery that one quarter of favourable pricing does not yet evidence.

Management consistent? → MAYBE

They split cleanly into an honest narrator and an unreliable forecaster. On **candour** they are better than most: they held a call every quarter through four years of deteriorating results, they name their problems precisely, they refuse to dress up the good quarter — the Chairman volunteered that the improvement rests on Chinese behaviour he cannot explain or control, and when an analyst offered him the "structural turnaround" framing he declined it and called it a business risk. On **things they control** they deliver: the energy audit cut power use over 30% and shows up in the accounts; the buy-back was executed and lifted promoter holding to 63.25%; they held capex discipline through the downturn rather than expanding into a collapsing market; the "worst is behind us" call in Feb-2026 proved right and early, and the 8% margin target for FY27 was beaten at 10.1% in the first quarter. On **anything with a date attached**, they have missed essentially every time. Isostearic acid has been the "star product" since FY23, was to hit full capacity by December 2024, and is a smaller share of sales now than then. The cheaper alternative raw material was due November 2025 and has been re-promised four times. The animal-feed product was due last quarter. The export share was guided from 9% to 20% for FY27 and fell to 7–8% instead. And a deck published on 14 December 2024 projecting ₹979 crore of FY26 revenue at a 23.8% margin was disowned nine weeks later as an "internal projection" that "doesn't hold good" — even though the customs shock blamed for the miss had happened three months *before* the deck was published. That is not a satisfactory way to retire a number investors were shown. Add the smaller slips — a wandering utilisation percentage, a mis-stated volume base on the latest call that flatters the year-on-year comparison, a claim of taking no debt while borrowings rose twelve-fold — and the picture is of people who are honest about today and systematically over-optimistic about the calendar. Trust what they report; discount every date they give.

Sources: Sixteen Fairchem Organics Ltd earnings-call transcripts filed with BSE and NSE under SEBI LODR Regulation 30, spanning Q1 FY23 (Aug 2022) through Q1 FY27 (call held 28 July 2026), sourced from Screener.in; Screener.in financial history (profit & loss, quarterly results, balance sheet, cash flow, ratios, shareholding pattern) for FAIRCHEMOR as at 3 August 2026. **On the numbers:** volume, mix, utilisation and export figures are management's own; realisation per kilo and computed utilisation are our arithmetic from them. Where a figure was quoted two ways, the contemporaneous disclosure is used and the discrepancy flagged.